GROWTH ANALYSIS OF RAJASTHAN'S ECONOMY

2011-24

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Introduction

Rajasthan holds a strategically significant geographical position, lying between the Northern and Western growth hubs of India, with the Delhi-Mumbai Industrial Corridor passing through it. The state has successfully attracted numerous multinational and domestic companies across sectors such as Information Technology, Textiles, Chemicals, Agro-processing, Cement, and Granite. Until the early to mid-1980s, Rajasthan's progress on socio-economic indicators was slow, with only a 3% annual increase in Gross State Domestic Product (GSDP) and minimal growth in per capita income. However, since the 1980s, the state has shown steady improvement. Over the last 30 years, Rajasthan's economy has seen an average annual 6.05% growth rate. The decadal growth rates were 5.94% in the 1980s, 6.53% in the 1990s, and 7.17% in the 2000s, indicating a consistently higher growth trajectory.

Growth Trajectory

Rajasthan's economy is predominantly agrarian, characterized by significant fluctuations in agricultural output and productivity, which have led to substantial variations in the state's GSDP over time. However, despite these challenges, the state's economy has demonstrated a strong growth trajectory in recent years. According to the MOSPI data, the Gross State Value Added (GSVA) at constant (2011-12) prices, as on 01/08/2024, for 2023-24 is Rs. 8,45,11,511 lakh. This is against the Rs. 7,82,28,738 lakh GSVA for 2022-23, an increase of 8%. This has positioned Rajasthan as one of the fastest-growing states in India.

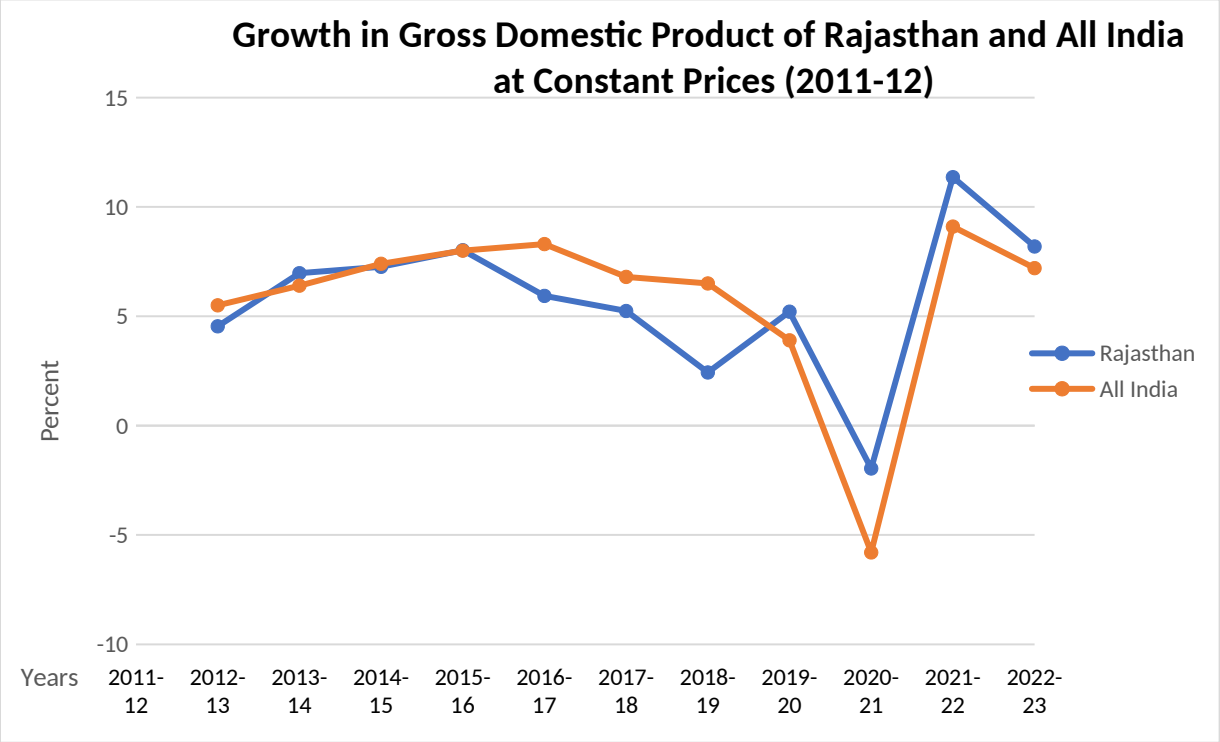
Table 1: Gross Domestic Product at Constant (2011-12) Prices (Rs Crore)

Year	Rajasthan		All India	
	GSDP	Growth over Previous Year (%)	GDP	Growth over Previous Year (%)
2011-12	4,34,837		87,36,329	
2012-13	4,54,564	4.54	92,13,017	5.5
2013-14	4,86,230	6.97	98,01,370	6.4
2014-15	5,21,509	7.26	1,05,27,674	7.4
2015-16	5,63,340	8.02	1,13,69,493	8.0
2016-17	5,96,746	5.93	1,23,08,193	8.3
2017-18	6,28,020	5.24	1,31,44,582	6.8
2018-19	6,43,278	2.43	1,39,92,914	6.5
2019-20	6,76,785	5.21	1,45,34,641	3.9
2020-21	6,63,515	-1.96	1,36,87,118	-5.8
2021-22	7,38,922	11.36	1,49,25,840	9.1
2022-23	7,99,449	8.19	1,60,06,425	7.2

Source: Directorate of Economics & Statistics, Rajasthan

We see a gradual increase in the GSDP of Rajasthan, despite some fluctuations. It has broadly mirrored economic trends while also exhibiting specific trends in the state. From 2011-16, we see a consistent increase in the GSDP from Rs 4.34 lakh crore in 2011-12 to Rs 5.63 lakh crore in 2015-16. In these years, the growth rate started at 4.5% in 2012-13 and peaked at 8.02% in 2015-16, reflecting a healthy economic expansion. This growth rate aligned with the national growth rate of 8% in 2015-16. Additionally, in two financial years Rajasthan's growth rate outpaced India's growth rate. In 2013-14, Rajasthan's economy grew by 6.97% as compared to the national growth rate of 6.4% and in 2015-16 Rajasthan's growth rate of 8.02% slightly exceeded India's growth rate of 8%. This could be largely accounted to favourable agricultural conditions and promotion in investment in sectors like tourism and renewable energy.

Figure 1



From 2016-19, we see a moderation of growth rate. The growth slow downed between 2016-17 and 2018-19 wherein the growth rate dropped from 5.93% in 2016-17 to just 2.43% in 2018-19. The GSDP only increased to Rs 6.43 lakh crore in 2018-19 from Rs 6.28 lakh crore in 2017-18. However, the growth rate of the Indian economy rose to 6.5% in 2018-19. The pre-COVID year of 2019-20 saw a rebound in growth with a 5.21% increase in GSDP. The national GDP only increased a 3.9%. the COVID-19 years of 2020-21 caused a contraction in the state's economy with GSDP growth declining by 1.96% in 2020-21. The GSDP reduced to Rs 6.63 lakh crore. This was a relatively smaller contraction than India's economy which saw a 5.8% decline in its growth rate. This can be linked to the state's lower level of industrialization and its dependence

on agriculture, which was less impacted by the pandemic compared to the services and industrial sectors.

The post-pandemic years of recovery saw an upward trajectory. Rajasthan recorded a 11.36% growth rate in 2021-22 with an economy of Rs 7.38 lakh crore. Additionally, Rajasthan ranked third in all the states in terms of growth of GSDP for 2021-22 (Kerala ranked first at 12.01%). This was significantly higher than the 9.1% national growth rate in the same year. In 2022-23, Rajasthan continued this trend with an 8.19% growth rate, very close to Rs 8 lakh crore, surpassing the national growth rate of 7.2%.

Per Capita Income: Over the period from 2011 to 2023, Rajasthan's per capita income demonstrated a long-term upward trend, although punctuated by fluctuations. The state moved from a per capita income of ₹57,192 (2011-12) to ₹86,134 (2022-23). The growth in per capita income varied with significant increases in 2014-15 (5.64%) and 2015-16 (6.31%). Rajasthan's growth rate consistently trailed slightly behind the All-India average for most years up to 2019-20. This growth peaked in 2021-22 at 10.2%. In 2020-21, the national per capita income saw a sharper decline (-8.9%) compared to Rajasthan's decline (-4.57%) due to the pandemic whose impact is seen to be seen more severe on the national economy. In the recovery phase (2021-22), Rajasthan's growth rate (10.12%) exceeded the All-India rate (7.6%), suggesting a strong economic rebound within the state compared to the national average. In non-pandemic years, Rajasthan's variation in growth rates was generally steadier than the All-India rate, which had higher peaks and troughs.

Table 2: Net Per Capita Income at Constant (2011-12) Prices

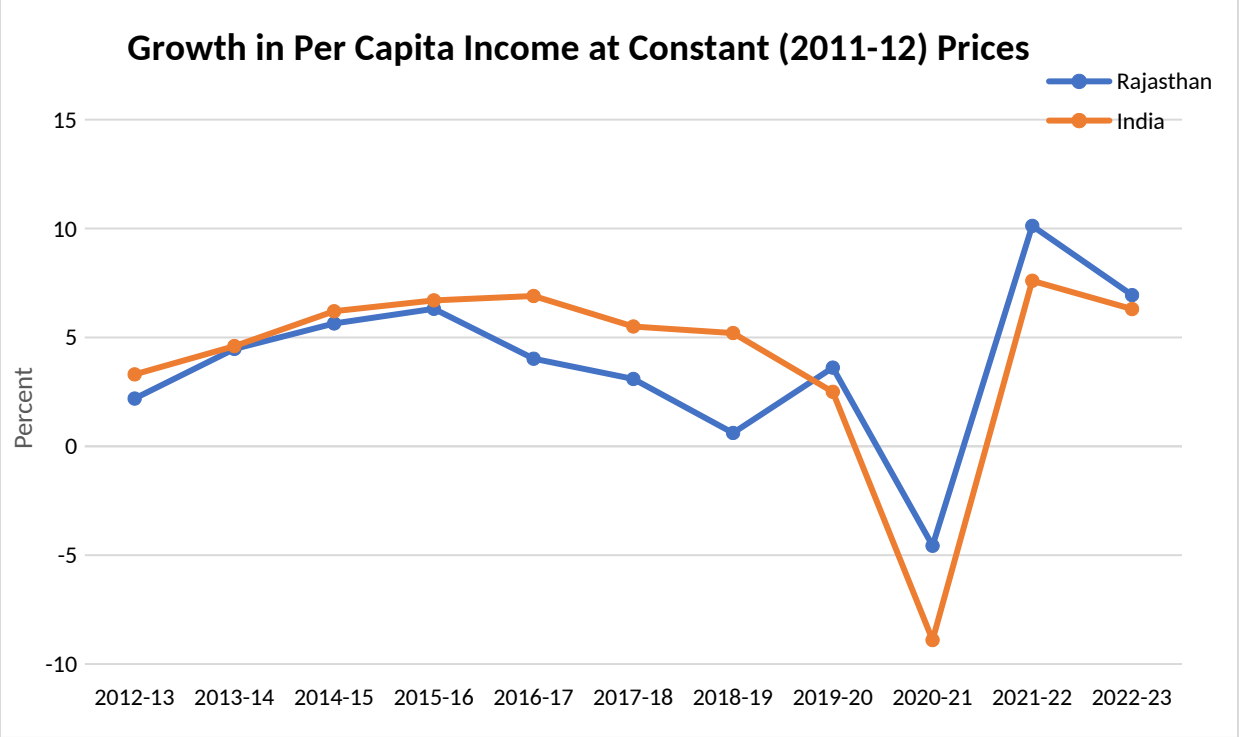
(Rs)

Year	Rajasthan		All India	
	Per Capita Income	Variation over Previous Year (%)	Per Capita Income	Variation over Previous Year (%)
2011-12	57,192		63,462	
2012-13	58,441	2.19	65,538	3.3
2013-14	61,053	4.47	68,572	4.6
2014-15	64,496	5.64	72,805	6.2
2015-16	68,565	6.31	77,659	6.7
2016-17	71,324	4.02	83,003	6.9
2017-18	73,529	3.09	87,586	5.5
2018-19	73,975	0.61	92,133	5.2
2019-20	76,643	3.61	94,420	2.5
2020-21	73,140	-4.57	86,054	-8.9

2021-22	80,545	10.12	92,583	7.6
2022-23	86,134	6.94	98,374	6.3

Source: Directorate of Economics & Statistics, Rajasthan

Figure 2



Impact of Major Economic Events

The following analysis delves into how major disruptions have shaped Rajasthan's economic growth. These events have had both direct and indirect effects on Rajasthan's economy.

Demonetization: On 8th November, 2016 the Rs 500 and Rs 1000 banknotes were invalidated to curb black money and counterfeit currency. It led to a cash crunch and affected various sectors, particularly informal businesses. The immediate effect was a contraction in economic activity, especially in cash-dependent sectors like agriculture, retail, and construction. Rajasthan's GSDP growth rate slowed from 8.02% in 2015-16 to 5.93% in 2016-17. Though the agricultural sector showed some resilience, **cash shortages** made it difficult for farmers to buy seeds, fertilizers, and hire labour during critical planting and harvesting seasons. In Table 3, crops sub-sector showed slow growth, while livestock was less affected due to a relatively less cash-dependent supply chain. The services sector, including trade, hotels, and transportation, witnessed immediate declines in demand due to the cash crunch. **Construction** (a labour-intensive sector) was particularly hit, with contractors unable to pay wages, leading to slowdowns or halts in projects.

GST: Implemented on July 1, 2017, GST aimed to unify indirect taxes across the country, simplify the tax structure, and enhance compliance. Gautam (2020) reveals that the tax revenue collection has increased for Rajasthan after the implementation of GST. Between 2017-19, Rajasthan achieved the target of 1000 crores/month GST collected five times. However, in 2019-20, Rajasthan experienced the most significant decline in GST collections compared to the Revenue Under Protection, relative to 2018-19. Pre-GST (average share during 2014-15 to 2016-17) and post-GST (average share during 2018-19 to 2020-21) percentage of GSDP saw a 0.07% decline (Mukherjee, 2023).

COVID-19 pandemic: The pandemic led to nationwide lockdowns starting March 2020, resulting in significant disruptions across sectors. Kumar and Bhadu (2022) reveals that in 2020, Rajasthan's tourism industry experienced a decline of over 71% compared to 2019. This resulted in a reduction of the state's income by ₹17,500 crores during 2019-2020, reflecting a 12.5% decrease from the previous year. In 2020-21, the GSVA contracted to ₹61,596.32 crores, down from ₹67,831.56 crores in 2019-20. During 2020-21, the manufacturing sector experienced a negative 1.88% annual growth (Rajasthan SDGs Status Report 2024). Manufacturing and services both saw a decline of 7.5% and 10.9% respectively in the year 2020-21. The agriculture sector showed resilience, with GSVA increasing slightly to ₹18,690.23 crores compared to ₹17,582.58 crores in 2019-20, aided by favourable monsoon conditions and increased demand for essential goods. Policy responses played a crucial role in mitigating impacts.

Sectoral Performance and Structural Transformation

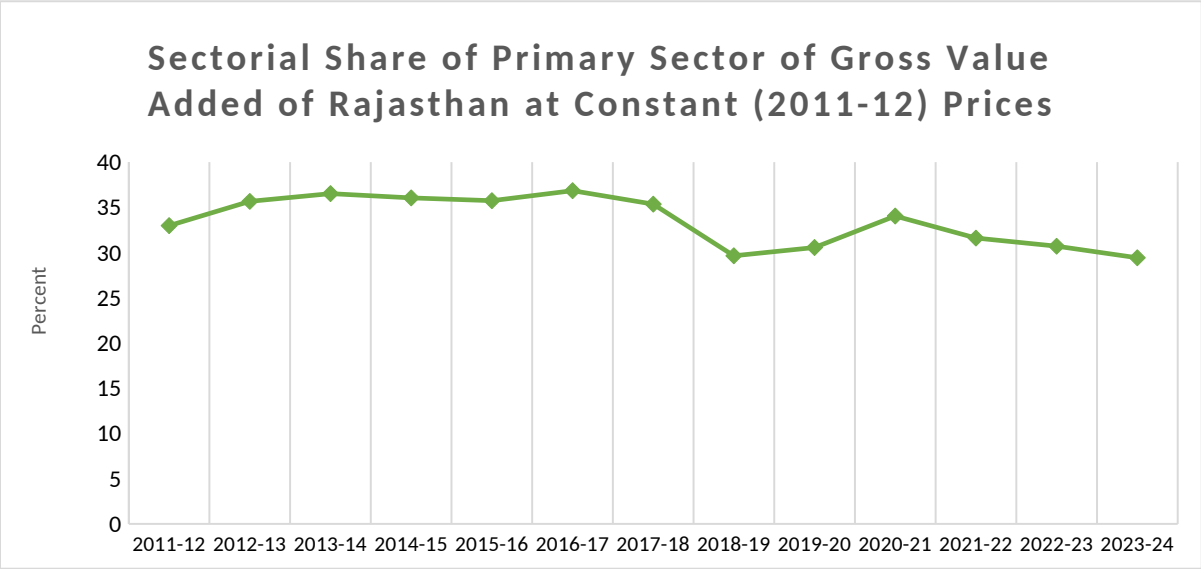
The paper now delves into the state’s economic structure and its evolution over time. The **primary sector** has seen a steady growth in GSVA (at constant prices 2011-12), from Rs 1,37,51,833 lakh in 2011-12 to Rs 2,29,66,116 lakh in 2023-24.

In agriculture, the **crop sector** has shown significant fluctuations from Rs 73,469.42 crore in 2011-12 to Rs 91,371.45 crore in 2023-24. After the sector peaked in 2019-20 at Rs 87,214.41 crore, it saw a decline in 2020-21 and 2022-23. The 2020-21 experienced a decline in the sowing of kharif crops (jowar, bajra, moong, maize) due to insufficient rainfall. Districts like Jalore, Bikaner and Bharatpur could only meet 22.7%, 27.55% and 29.26% of their sowing targets respectively (The New Indian Express, 2021). However, the sector rebounded in 2022-23 and 2023-24. Livestock has demonstrated a consistent growth from Rs 31,132.25 crore in 2011-12 to Rs 92,070.83 crore in 2023-24, driven by the rising demand of dairy and meat products. **Livestock’s** contribution to the agriculture has grown significantly from 26% of the total agriculture share in 2011-12 to 45% of the total agriculture share in 2023-24, surpassing crops as a leading sub-sector which had a dominant share of 62% of the total agriculture share in 2011-12. This reflects Rajasthan’s shift toward diversified agricultural practices, particularly

in animal husbandry. Animal husbandry in Rajasthan is not just a supplement to agriculture but a significant economic activity in arid and semi-arid regions. It serves as a safeguard against frequently occurring scarcity conditions in the state. In 2024, the government has decided to a establish a Rs 250 crore fund for animal husbandry development (TOI, 2024).

Forestry and logging have grown moderately from Rs 14,170.30 in 2011-12 to Rs 20,130.92 crore in 2023-24 and could be attributed to the recent increase in forest cover and sustainable forest management practices. Although small in scale, the **fishing and aquaculture** sub-sector expanded impressively from ₹33 crores in 2011-12 to ₹100 crores in 2023-24. **Mining and quarrying** have demonstrated a robust growth from Rs 18,415.30 crore in 2011-12 to Rs 52,098.04 crore in 2015-16. This can be attributed to increased mining activity. However, the later period is followed by fluctuations due to regulatory changes and environmental concerns. The period from 2018-20 faced a considerable decline but then the growth resumed in the post-pandemic period, reaching Rs 25,084.77 in 2023-24. Rajasthan ranks as one of India's top mineral-producing states with 57 varieties of minerals produced on a commercial scale. It is also the nation's leading producer of cement-grade limestone (Bureau of Investment Promotion, 2024).

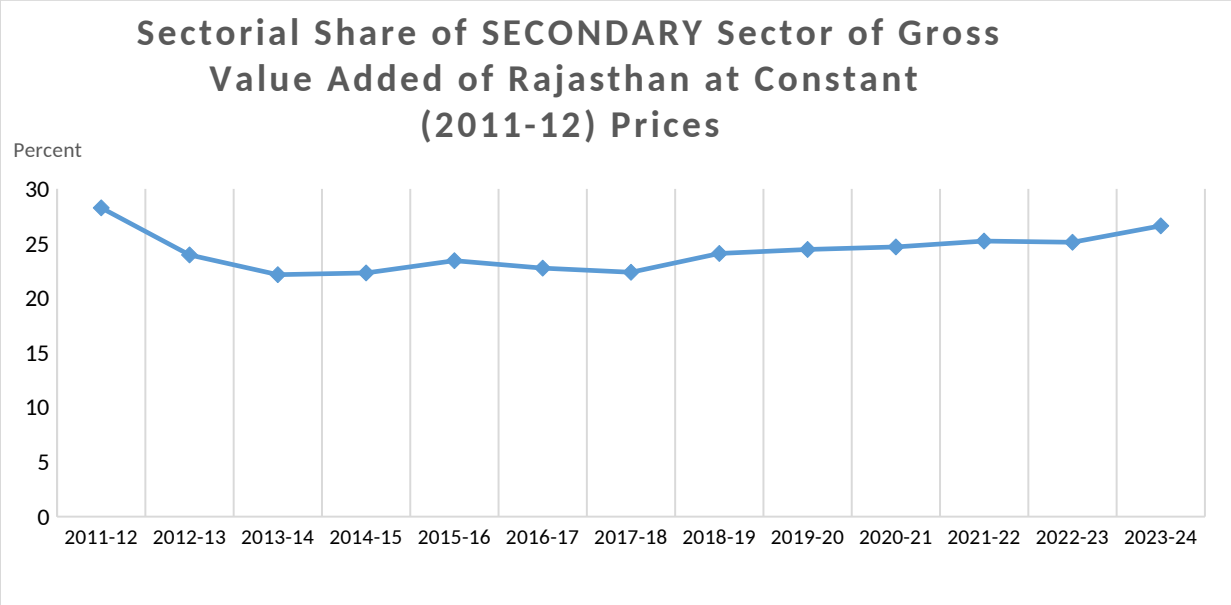
Figure 3



The **secondary sector** has grown in importance with its GSVA rising from Rs 1,17,890.49 crore in 2011-12 to Rs 2,07,810.42 crore in 2023-24. Under this, **manufacturing** shows fluctuations in the periods 2011-12 and 2013-14, however, it experiences rapid growth from 2015-16 onwards. It has grown from 57% share in 2011-12 to 61% share in 2023-24, in total secondary sector. This growth can be attributed to various land reforms, investment summits, policy changes (Investment Promotion Scheme 2014, Rajasthan MSME Policy 2015) and development of new industrial areas to promote manufacturing in the state. The **Electricity,**

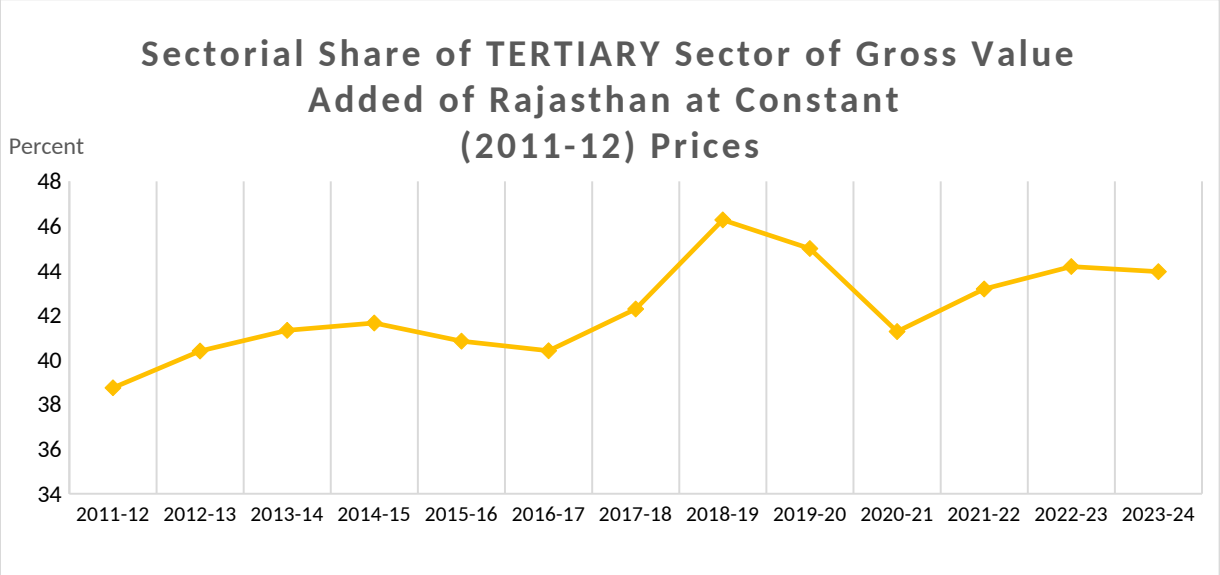
Gas, Water Supply, and Other Utilities sub-sector has shown steady growth from Rs 7,632.71 crore in 2011-12 to Rs 15,447.14 in 2023-24. The demand for these utilities has risen due to urbanisation and industrial growth. Thus, the state has also witnessed significant investments in renewable energy (especially solar- Solar Energy Policy 2014). Construction has displayed a moderate growth from Rs 43,591.71 crore in 2011-12 to Rs 64,863.22 in 2023-24. The sector was somewhat stagnant in 2015-16 and then dipped in 2020-21 due to the COVID-19 pandemic, but then recovered in the later years. Construction's share in the secondary sector has dipped from 37% in 2011-12 to 31% in 2023-24.

Figure 4



The **tertiary sector** has shown the highest growth among the sectors from Rs 1,61,574.72 crore in 2011-12 to Rs 3,43,056.57 crore in 2023-24. The **trade, repair, and hospitality sector** has grown significantly and its share in the total tertiary sector has remained same in 2011-12 and 2023-24. However, hotels and restaurants experienced volatility during the pandemic shrinking from Rs 3,477.14 crore in 2019-20 to Rs 1,585.17 crore in 2020-21. Within **Transport, Storage, Communication, and Broadcasting**, road transport and communication were the largest sub-sectors, with road transport benefiting from infrastructure upgrades and the expansion of highways. Communication services grew significantly, reflecting increased telecom penetration and the expansion of internet and mobile services across the state. **Financial services** have also expanded considerably due to the rise of banking, insurance and fintech services. Its share in tertiary sector has increased from 8% in 2011-12 to 11% in 2023-24. Real Estate, Ownership of Dwelling, and Professional Services has grown from Rs 41,337.21 crore in 2011-12 to Rs 80,791.99 in 2023-24. Professional services such as legal, accounting, and consultancy services and commercial development contributed to this growth. **Public administration and other services** expanded steadily over the years.

Figure 5



Rajasthan's economic structure has undergone noticeable transformation between 2011-12 and 2023-24. Structural transformation refers to the shift in the relative contribution of different sectors—agriculture, industry, and services—to the overall economy. The share of the **primary sector** was relatively stable in the earlier years from 2011-12 to 2013-14, hovering around 28-29%. However, it dipped to 25.88% in 2015-16 due to various factors like weather variability, droughts, and structural issues in the agricultural sector. There was a recovery in agriculture's share to 30.28% in 2020-21, likely due to the pandemic-induced contraction in other sectors (especially services), along with favourable monsoon seasons. The recent year of 2022-23 shows agriculture stabilizing around 28.5%, signalling its enduring but gradually declining role in the economy.

Figure 6

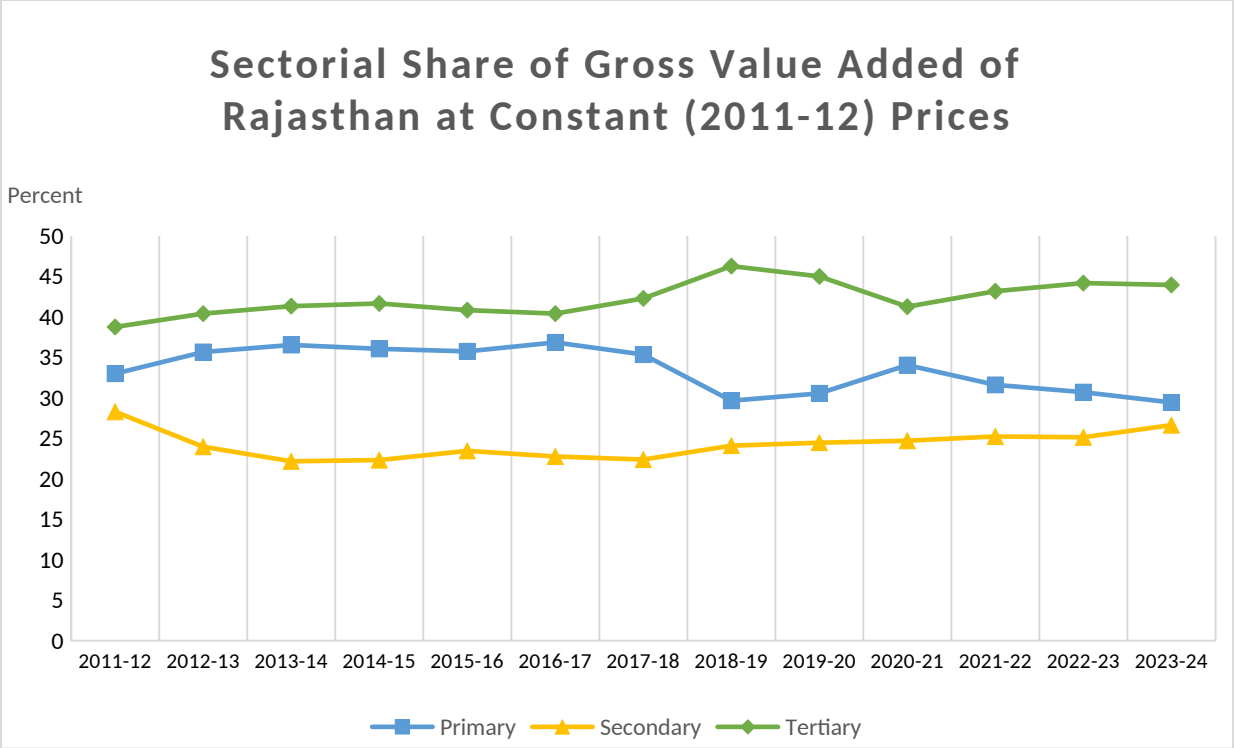
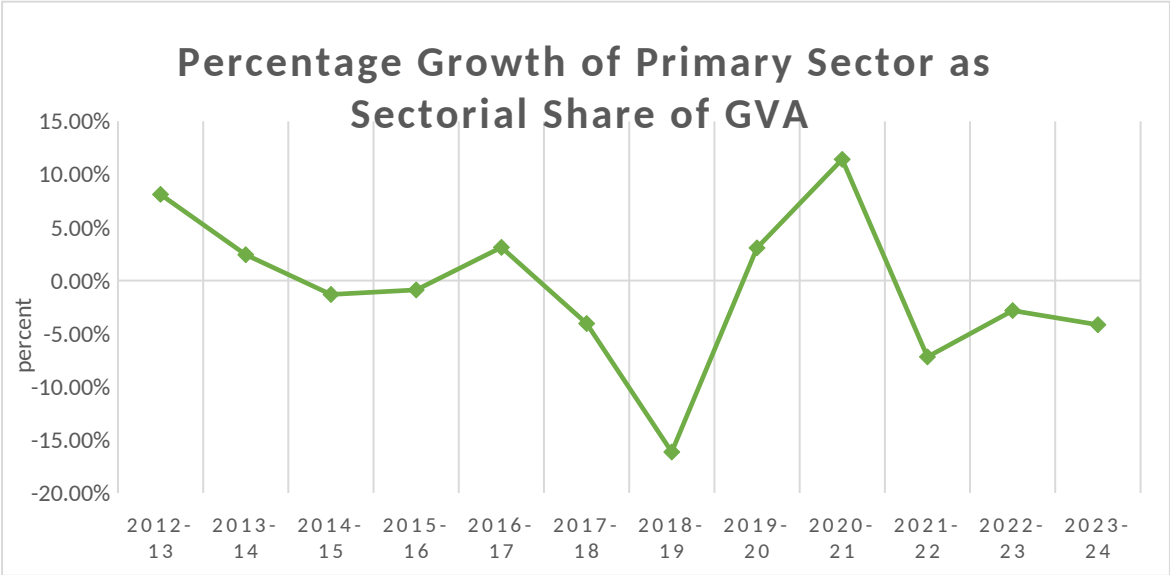


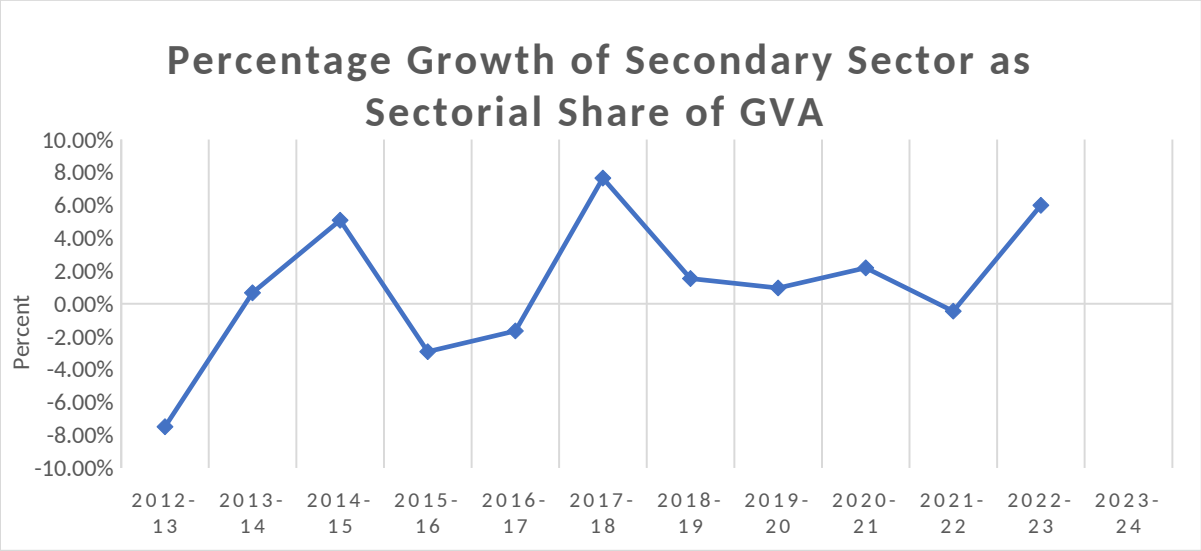
Figure 7



Notable declines in the years 2018-19, 2021-22, 2022-23 and 2023-24 suggest a trend of declining sectorial share of the primary sector in the total GSVA. While it may have grown in absolute terms, it has not kept pace with the Secondary and Tertiary sectors in contributing to the state's economy (Figure 7).

The **industry sector**'s contribution has experienced more volatility. It decreased slightly from 32.69% in 2011-12 to 27.76% in 2022-23, with the highest share in 2015-16 at 33.29%. The early period saw industrial growth and increased output, but starting from 2018-19, the share of industries began to shrink. By 2020-21, industry's share rebounded slightly to 28.02%, recovering from the pandemic's initial impact but remaining below its previous highs. The decline in the industry's share during 2018-19 to 2020-21 indicates challenges in the industrial sector, such as the slowdown in manufacturing, regulatory hurdles, and disruptions due to the COVID-19 pandemic.

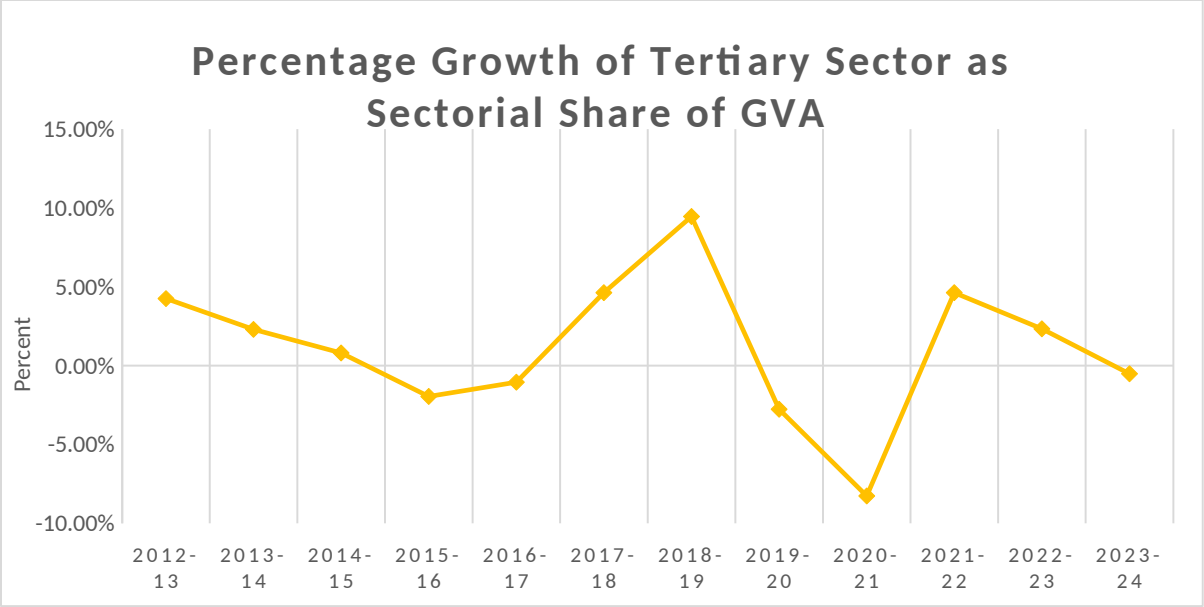
Figure 8



A break in the initial contraction trend of the secondary sector is seen from 2015-16 to 2018-19 where a consistent growth is reflected in percentage growth of its sectorial share of the total GSVA. From 2019-20 to 2021-22 percentage share stabilized but at a lower share, perhaps due to external factors like COVID 19 affecting industries.

The **services sector** has emerged as the dominant contributor to the GSVA, growing from 38.75% in 2011-12 to 43.74% in 2022-23. The services sector consistently grew in its share of GSVA, reaching its highest contribution of 46.27% in 2018-19. This reflects the growing importance of trade, finance, telecommunications, real estate, and tourism in Rajasthan's economy. The slight dip to 41.70% in 2020-21 was likely caused by the pandemic's impact on sectors like tourism, hospitality, and retail trade. However, services recovered quickly, regaining its position with 43.74% in 2022-23, reaffirming its pivotal role in driving Rajasthan's growth.

Figure 9



Sectorial share for tertiary sector witnessed a strong increase in 2018-19 reflecting a expansion in tourism. COVID 19 negatively impacted the share in 2019-20 to 2020-21, as with all the sectors. The sectorial share rebounded and stabilized growth for rise in sectorial share is seen in 2021-22 to 2023-24 indicating a structural shift towards a more service-oriented economy.

The most notable structural change is the rise in the contribution of services, which increased from 38.75% in 2011-12 to 43.74% in 2022-23. There has been a **shift from agriculture and industry to services**. This transition is typical in developing economies, where services begin to dominate as income levels rise and economic activity shifts from traditional agriculture to more modern sectors. The expansion of services aligns with trends in urbanization, technological adoption, and growing consumer demand. Rajasthan's focus on promoting tourism, financial services, and IT infrastructure is reflected in this trend. However, continued emphasis on upskilling the labour force, enhancing service sector productivity, and fostering innovation will be crucial to maintain this momentum.

Figure 10

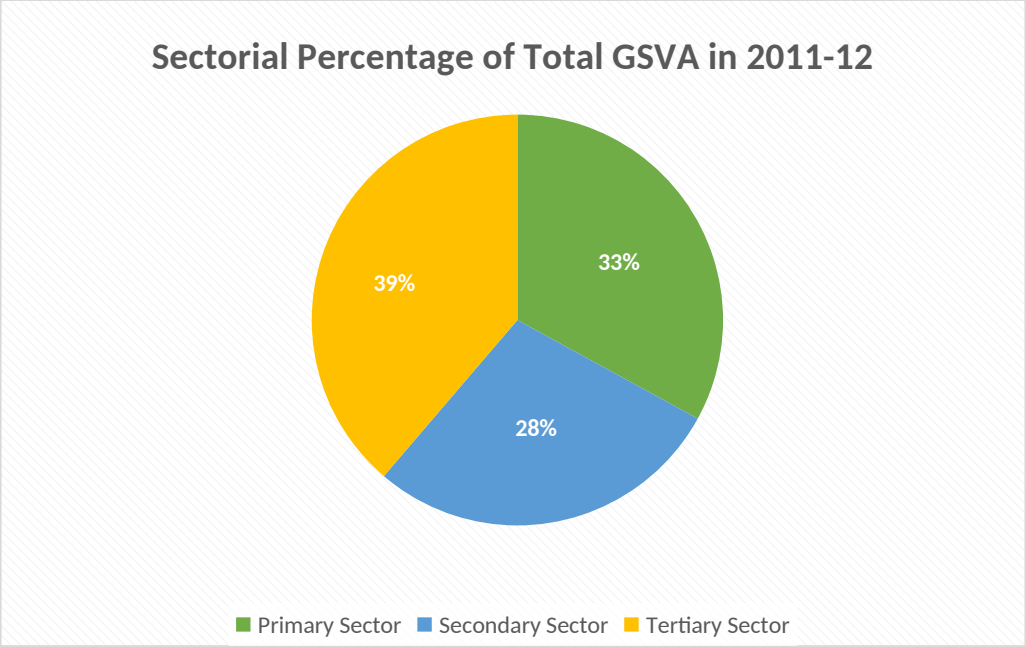
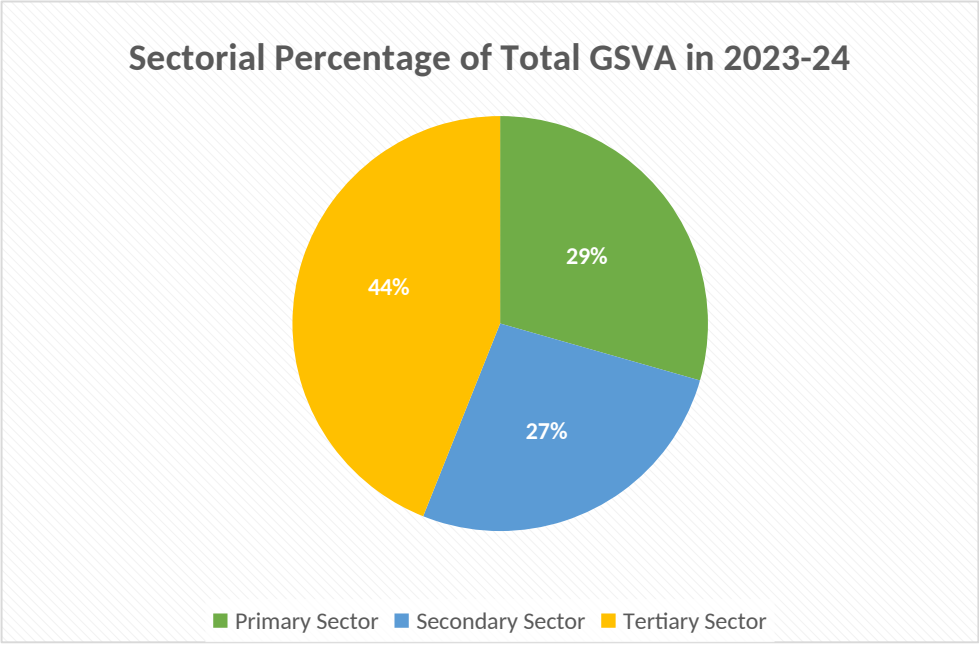


Figure 11



The **industrial sector has shown some volatility**, reflecting the state's mixed performance in manufacturing and construction. The peak contribution of industry in 2015-16 (33.29%) highlights a period of industrial expansion, but challenges in recent years have hindered its sustained growth. The industrial sector's declining share signals challenges that need to be addressed to revitalize this key segment. Rajasthan's focus on sectors such as textiles, minerals, and handicrafts, alongside emerging areas like renewable energy, could spur industrial growth.

Policies encouraging infrastructure development, investment in manufacturing, and regulatory reforms will be key to enhancing industrial performance.

Sharma et. al (2022) demonstrates that the current level of infrastructure has not yet reached the critical threshold necessary to accelerate economic growth. It may seem contradictory that, despite higher growth rates across nearly all variables compared to the national average, Rajasthan's overall economic growth remains lower. This discrepancy can be explained by the state's relative lack of infrastructure. While the share of agriculture has declined, its contribution remains significant. **Agriculture's relative stability** in recent years, even during periods of overall economic downturn (like in 2020-21), highlights its resilience, especially as a critical livelihood source for Rajasthan's rural population. Modernization of agriculture, improvements in irrigation, and value-addition (like agro-processing) could boost productivity and sustain rural incomes. Over the past six decades, there has been a shift in GDP and workforce distribution from the primary and secondary sectors to the tertiary sector (Sharma et. al, 2022). This indicates significant potential for boosting economic growth through the expansion of the tertiary sector, provided that proper planning is implemented for other sectors and there is effective integration between the tertiary sector and the commodity sectors.

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